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AI



**Anduril alums raise \$24M
Series A to bring military
logistics out of the Excel
spreadsheet era**



Silicon Valley is doubling down on defense as geopolitical tensions rise and appetite for modernizing warfare grows. And while many of the startups garnering large valuations are focused on hardware and weaponry — think [Anduril](#), [Shield AI](#), and [Skydio](#) — [Rune Technologies](#) wants to tackle AI-enabled software for military logistics.

“The U.S. military runs on Excel spreadsheets and whiteboards and manual processes right now to execute logistics operations,” co-founder David Tuttle told TechCrunch. “Logistics is never the sexiest part of the military. The technology industry emphasis is on how do we make things go boom? How do we build great weapons systems?”

IMAGE CREDITS: RUNE TECHNOLOGIES

Logistics, Tuttle says, usually falls behind when it comes to innovation. And he should know. Earlier in his career, he was a field artillery officer in the U.S. Army. Later, he served with the Joint Special Operations Command before going on to work at Anduril, where he met his co-founder, ex-Meta software engineer Peter Goldsborough. The two founded Rune after seeing how much modern warfare has changed the scale and pace at which armies have to sustain force.

“Ukraine is a sad example of the expenditures of munitions, the consumption of supplies, and those types of things in a near-peer adversary conflict — they will break human-centric and analog-centric processes,” said Tuttle.

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Rune's flagship product TyrOS promises to transform manual logistics processes into intelligent supply webs that predict future needs, optimize current resources, and enable distributed operations — even from a disconnected laptop in the middle of the jungle.

The startup has just raised a \$24 million Series A round off the back of pilot deployments under the U.S. Army and U.S. Marine Corps. The round — which Human Capital led with participation from Pax VC, Washington Harbour Partners, a16z, Point72 Ventures, XYZ Venture Capital, and Forward Deployed VC — will go toward expanding TyrOS deployment into other U.S. military services.

TyrOS has two major selling points. The first is its technical capabilities as a mission command system for logistics. TyrOS relies on deep learning models, including time series models, to forecast supply and demand assets like personnel, transportation, equipment, food, and other resources based on hundreds of environmental and supply variables.

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“A logistician thinks about not just, ‘What do I have on hand from supplies?’ but also, ‘What vehicles do I have to move that?’” said Tuttle. “‘What qualified crews do I have to drive that vehicle?’ ‘What routes is that vehicle going to go over?’ ‘And is that threat-informed?’ ‘Is a bridge blown up on the route that we need to reroute around?’”

Tuttle says the team at Rune, two-thirds of which are veterans, is also working to integrate generative AI into TyrOS for “course of action generation,” enabling the system to digest massive datasets in real-time battle space environments so that logisticians and commanders can query it on the fly. And while LLMs have advanced rapidly, TyrOS still relies on traditional mathematical optimization for certain tasks — like planning aircraft loads based on cubic volume and other constraints — where precise calculations are essential.

TyrOS’s second major hook is its edge-first architecture that bypasses the need for constant connectivity to remote servers, allowing the system to operate independently and synchronize when communications are reestablished. In other words, TyrOS is “cloud-capable, but not cloud-required.”

“Building software today from a cloud environment standpoint is very different architecturally than if I’m building software to run literally on this laptop in the jungle in the Philippines with Marines or soldiers,” Tuttle said.

TyrOS is also cloud- and hardware-agnostic; it can run on program-of-record hardware server stacks that the military uses today for ease of integration, per Tuttle.

The co-founder noted that Rune's backers include executives at both Palantir and Anduril, where he sees plenty of partnership opportunities. Rune was recently selected for the Palantir Startup Fellowship and announced its integration earlier this year with Palantir's Defense OSDK (Ontology Software Development Kit) to enable automated logistics, from the tactical edge to the strategic layer.

Automating the gap between tactical-level intelligence and strategic decision-making is Rune's long-term vision.

"I'm not just worried about sustaining this for the next 30 or 60 days," Tuttle said. "I'm worried about how this might impact production decisions back in the defense industrial base. That's the vision we want to get up to. How do you drive tactical level data all the way up to the operational level, to the strategic level, to potentially drive the production of artillery shells?"

Clarification: Peter Goldsborough volunteers under the U.S. Marine Corps Cyber Auxiliary.

Got a sensitive tip or confidential documents? We're reporting on the inner workings of the AI industry — from the companies shaping its future to the people impacted by their decisions. Reach out to Rebecca Bellan at rebecca.bellan@techcrunch.com and Maxwell Zeff at maxwell.zeff@techcrunch.com. For secure communication, you can contact us via Signal at @rebeccabellan.491 and @mzeff.88.



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Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk's broader empire,...

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IMAGE CREDITS: THESEUS

STARTUPS



Defense tech Theseus landed Y Combinator, the US Special Forces, and \$4.3M from a tweet

Charles Rollet — 3:36 PM PDT · April 17, 2025

On February 18, 2024, Ian Laffey [posted](#) on X that he and two others he'd just met built a cheap drone at a hackathon that calculated its coordinates simply by using its camera and Google Maps. He and his colleagues, Sacha Lévy and Carl Schoeller, were all engineers under the age of 25.

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two teammates well and parted, hoping their paths might cross again.

But the tweet went viral and changed their lives. A day later, the three decided to apply to Y Combinator, successfully getting into its [Spring 2024 cohort](#).

Now, their San Francisco-based company, [Theseus](#), has just raised \$4.3 million in seed funding in a round led by First Round Capital, with additional backing from Y Combinator and Lux Capital, it exclusively told TechCrunch.

Theseus joins a flock of other drone-related startups. There's Skydio, which focuses on replacing Chinese drones for U.S. law enforcement and was [last valued at \\$2.2 billion in 2023](#). Shield AI, which builds reconnaissance drones, recently

insight.

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raised at a \$5.3 billion valuation. The biggest defense tech player, Anduril, launched its own small drone last year, and is reportedly in talks to raise at a \$28 billion valuation.



A DRONE AT A US SPECIAL FORCES BASE USING THESEUS
IMAGE CREDITS:THESEUS

Theseus says it doesn't build drones, but focuses on the hardware components and software that will enable pretty much any military drone to fly unmanned without GPS. Schoeller, Theseus' CEO, told TechCrunch the company doesn't build targeting systems. Its software is not deciding whether a certain spot is a legitimate military target or not — the sole focus is getting a drone from point A to B.



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Theseus hasn't won any U.S. military deals yet, and hasn't been deployed in an actual battlefield. So it's using its fresh capital to focus on further building out its tech, [hiring](#) for three engineering roles.

However, the viral hackathon tweet did get Theseus noticed by U.S. Special Forces, which has entered into an agreement for early testing and development. Theseus says it recently went to a secret Special Forces base to test out its latest system, sending TechCrunch a photo of it in action.

Overall, starting a company with people you've known for under a week "generally isn't advised," but in Theseus' case, it warranted the leap of faith, Schoeller [wrote](#) on LinkedIn.

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Charles Rollet

Senior Reporter |

Charles Rollet is a senior reporter at TechCrunch. His investigative reporting has led to U.S. government...

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IMAGE CREDITS: SHIELD AI

SECURITY



Shield AI raises another \$60M at a \$2.3B valuation for its military autonomous flying tech

Ingrid Lunden — 4:04 PM PST · December 13, 2022

Defense technology continues to get a lot of attention from investors, and today, one of the bigger startups in the space is announcing more funding. Shield AI — which develops platforms and planes for autonomous flying systems, targeting the U.S. military and its allies as customers — has raised \$60 million in funding, money that it will be using to continue developing its technology.

The money is coming in as an additional part of Shield AI's Series E, and it brings the total round to \$225 million. Shield AI announced the previous

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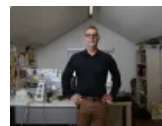
[\\$165 million](#) tranche in June, which gave the startup a valuation of \$2.3 billion. We've confirmed with Brandon Tseng, Shield AI's president who co-founded the company with his brother Ryan (the CEO), that this extension came in at the same valuation.

This latest \$60 million came from a single investor, the US Innovative Technology Fund (USIT). The company actually closed this extra funding a week after the last round was announced, but it's only announcing it now. Tseng didn't comment on the delayed timing in putting out the news, but USIT was also an investor in another big defense deal, Anduril's [\\$1.5 billion round](#), also long rumored but *also* only announced earlier this month. Previous investors in Shield AI include Snowpoint Ventures, Riot Ventures, Disruptive, Homebrew, Point72 Ventures, Andreessen Horowitz, Breyer Capital and SVB Capital.

The news comes at a tricky period for fundraising: investors have tightened their purse strings in reaction to tech companies, from the top down, seeing a slow down in business. Startups finding it harder to raise money have had to cut costs to extend their runways and demonstrate to their backers that they have business ideas that will grow and be profitable. And even if they do all that, they might still run out of money and have to shut down.

Amidst all that, defense tech has been one of the stand-out categories in tech. Controversy has long swirled around the sector for a number of reasons. [Some VCs](#) as a matter of policy do not invest in defense startups; there are ethical questions for many around whether endorsing companies that help build tech for military aggression; and there are other ethical questions around surveillance and other invasive and covert technology that some of these companies develop.

SECURITY



Citizen Lab director warns cyber industry about US authoritarian descent

Lorenzo Franceschi-Bicchierai

- 18 hours ago

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And yet, world events and the wider economy and its negative pressure on the wider tech industry are leading to shifts in some of those sentiments. Tensions between nations, terrorism and wars are all being played out on a technological level these days, and that means equipping those in combat with better tools. Those who are looking for high ground as tech continues to flood with bad deals see an opportunity in defense tech. PitchBook [noted](#) in October that defense startup investing was on track to exceed \$7 billion this year (last year it was \$7.6 billion).

“Military and government spending is countercyclical,” said Tseng in an interview. “When you talk to a consumer or enterprise business, spending goes down in a recession. But the government is a Steady Eddie. Modernizing the military requires a path and a plan and so it will continue to execute on that.”

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Shield AI, like others, also likes to spin the idea that its tech can reduce casualties and injuries.

“We’re seeing increased interest from the investment community because of the undeniable fact that the U.S. and allies are best positioned to deter global conflict when our aircraft can provide the best and most critical information and access,” said Tseng said in a separate statement. “The greatest victory requires no war, which is why investments in deterrence technology like AI pilots for defense are so crucial.”

All of that is that’s driving business for the best startups in the space, and that in turn is getting investors interested, too.

“Automated defense capabilities will play an increasingly essential role in our defense programs and are critical to our ability to remain competitive,” said Thomas Tull, the chairman of the US Innovative Technology Fund, in a statement. “Shield AI is a leader in this space, developing some of the most advanced and cutting-edge technology for AI piloting. We are proud to be able to support Shield AI and the work they are doing in defense.”

Shield AI is based out of San Diego, which we previously described as the Silicon Valley of the defense industry: it’s the home port of the U.S. Pacific fleet, and according to [stats gathered](#) by the city’s chamber of commerce, outside of Fairfax County, Virginia (where the Pentagon is based) greater San Diego gets more defense spending than any other place in the U.S. Shield is based there among a dozens of other major and smaller defense contractors.

The company already has a number of aircraft as well as its Hivemind autonomous flying software on the market and deployed with customers (for

example in the F16 plane pictured above) — Shield AI is part of the U.S. Department of Defense Program of Record — and it’s working on a number of other projects, including VTOL autonomous plane software and hardware, and “swarming” capabilities to jam signals, or to help their customers communicate when their signals are being jammed.

Indeed, the large size of Shield AI’s round, \$225 million, is a sign not just of that demand, but of the high costs associated with developing technology for this industry. It comes just 11 days after Anduril, another defense tech startup working on autonomous systems, confirmed that it had [raised close to \\$1.5 billion](#) at a \$7 billion valuation with the aim of putting that money to work in part to build out both its hardware and software.

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Ingrid Lunden

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